

his policy would be worth approximately \$80,000, but his insurance needs would not have declined; in fact, they may well have increased.

With a level term policy, his premiums would have increased but the insurance coverage remained the same. Additional coverage could be purchased for the period of higher need.

### COST COMPARISON

Is cash value insurance less expensive since it accumulates a cash reserve?

It is noteworthy that most cash value policies at some point actually accumulate more cash reserves from interest and dividends paid than the yearly premiums. Does this mean the insurance is free? Not really, as this example illustrates.

Assume that a man 30 years old needs \$100,000 insurance to provide for his wife and 3 children in the event of his death. His choices have boiled down to a cash value policy or a yearly renewable term policy. The cash value policy costs \$1,200 a year.

At age 65, it will have \$100,000 in cash value. If he dies any time before 65, his family will receive the \$100,000 face value. Assume also that he can afford the premium. If he could not, the decision would be one of budget.

The term policy costs \$200 per year initially. Each year the premium costs will increase. This particular term is guaranteed renewable regardless of his health, until age 100.

The difference in premium cost between the cash value policy and term policy will be invested in U.S. Savings Bonds each year so that the equivalent of the cash value policy is being saved. At the age of 65, the cash reserves are as follows:

Cash value in insurance = \$100,000

Cash in Savings Bonds = \$127,000

It is also important to remember that if the husband dies before 65, his family would receive \$100,000 from the cash value policy, but would receive \$100,000 plus the savings bonds worth \$127,000 from the term policy.